Name:- Muhammad Obaid
Roll No:- CT-23025

FCA - Assignment 02

Q1

Sales	5,000,000	Sales Return	10,000
Sales Disc	5,000	Raw Material Purchased	1,000,000
Material Ret	2,000	Material Disc	3,000
Transportation In	5,000	Direct Exp	10,000
Direct Labour	1,200,000	Indirect Labar	500,000
Indirect Mat	200,000	Factory Rent	600,000
Factory Insc	10,000		

Depreciations

Plant & Machinery	20,000
Factory Utility	30,000
Admin Exp	100,000
Selling & Dist	20,000
Interest	1,000

Tax 40%

Inventories	Beg	Ending
Raw Material	200,000	500,000
Work in Process	100,000	50,000
Finished goods	200,000	300,000

Required

i) Manufacturing Statement
ii) Income Statement
iii) Total Cost

Manufacturing Statement

Raw Material:-		
Beg. Inventory Material		200,000
Add. Raw Material Purchase	1,000,000	
Add. Transportation In	5,000	
Total Purchase	1,005,000	
Less. Purchase Return	-2,000	
Less. Purchase Discount	-3,000	
Net Purchase		1,000,000
Material available for use		1,200,000
Less. Closing Inventory		-500,000
Raw Material Consumed		700,000
Direct Labour		1,200,000
Direct Exp		10,000
Prime Cost		1,910,000
Factory overhead:-		
Indirect Material	200,000	
Indirect Labour	500,000	
Factory Rent	600,000	
Factory Utility	30,000	
Plant & Mach Depreciation	20,000	
Factory Insurance	10,000	
Total Factory overhead		1,360,000
Total Manufacturing Cost		3,270,000
Add: Work in process (Begg)		100,000
Less: Work in process (Ending)		-50,000
Total Manufacturing Cost		3,320,000

Income Statement

Revenue		
Sales		5,000,000
Less: Sales Return		-10,000
Less: Sales Discount		-5,000
Net Sales		4,985,000
Cost of goods sold:-		
Finish goods Begg Inv.	200,000	~~200,000~~
Total Manufacturing Cost	3,320,000	~~3,320,000~~
Cost of goods available for sale	3,520,000	
Less. Finish goods Ending Inv	- 300,000	
Cost of good sold		3,220,000
Gross Profit		1,765,000
Less Operating Exp		
Selling & Dist Exp		20,000
Admin Exp		100,000
EBIT		1,645,000
Less: Interest		1,000
EBT		1,644,000
Less: Tax 40%		657,600
Net profit after tax		986,400

Total Cost = Prime Cost + Production Cost + Admin Exp + Selling & Dist Exp + Financial charges

= 1,910,000 + 1,360,000 + 100,000 + 20,000 + 10,00

Total Cost = 3,391,000

Q2

Manufacturing Statement

Raw Material:		
Beg. Inv Material		100,000
Add: Raw Material Purchase	450,000	
Add: Transportation In	45,000	
Total Purchase	495,000	
Net Purchase		495,000
Material available for use		595,000
Less: Closing Inv		-50,000
Raw Material Consumed		545,000
Direct Labour		1,090,000
Direct Exp		115,000
Prime Cost		1,650,000
Factory overhead:-		
Total Factory overhead		2,475,000
Total Manufacturing Cost		4,125,000
Add: Work in process (Begg)		20,000
Less: Work in process (Ending)		-30,000
Total Manufacturing Cost		4,115,000

Income Statement

Revenue		
Net Sales		1,500,000
Cost of goods sold		
Finish goods Begg. Inv	200,000	
Total Manufacturing Cost	4,115,000	
Cost of goods available for sale	4,315,000	
Less: Finish goods End Inv	- 150,000	
Cost of goods sold		4,165,000
Gross Profit		- 2,665,000
Less: Operating Exp		
Selling & Dist Exp		50,000
Admin Exp		100,000
EBIT		- 2,815,000
Less: Interest		10,000
EBT		- 2,825,000
Less: Tax 40 %. Don't apply on loss		
Net loss		2,825,000

Q3

EBT = Tax ÷ Percent = $\frac{4000}{40\%}$ = 10,000

Net Profit = EBT − Tax = 10,000 − 4,000 = 6,000

EBIT = EBT + Interest = 10,000 + 500 = 10,500

Operating Exp = 10,000 + 5,000 = 15,000

Gross Profit = EBIT + Operating Exp
= 10,500 + 15,000 = 25,500

Net Sales = $\frac{\text{Gross Profit}}{30\%}$ = 85,000

Cost of goods sold = 85,000 − 25,500 = 59,500

Income Statement

Revenue	
Net Sales	85,000
Cost of goods sold	
Cost of good sold	59,500
Gross Profit	25,500
Less: Operating Exp	
Selling & Dist Exp	10,000
Admin Exp	5,000
EBIT	10,500
Less: Interest	500
EBT	10,000
Less: Tax 40%	4,000
Net profit after tax	6,000

Q4

Manufacturing Statement

Raw Material:	
Begg Inv Material	10,000
Raw Material purchased	102,000
Material avaiable for use	112,000
Less: Closing Inv	12,000
Raw material consumed	100,000
Direct Labour	400,000
Prime Cost	500,000
FOH	500,000
Total Manufacturing Cost	1,000,000
Add W.I.P (Begg)	5,000
Less: WIP (End)	-3,000
Total Manufacturing Cost	1,002,000